

It was Murthy who fostered a culture of profitability and self-sufficiency. NPCI today makes annual revenues of ₹2,225 crore, a surplus of ₹809 crore, and has created assets of ₹5,571 crore. (See graphic 'Empowered and Autonomous')

# A

**AT PRESENT, UPI** allows bank customers to link their savings or overdraft accounts, prepaid wallets, and RuPay credit cards for payments. But it is now expanding UPI use cases to include credit card linkages and digital credit lines. This promises not only to expand UPI's capabilities but could also provide a boost for credit cards, since just 6% of Indians use plastic cards.

The credit card customer base is around 100 million,

with credit outstanding at ₹2.51 lakh crore, compared with home loans where it is ₹26.40 lakh crore, vehicle loans at ₹5.83 lakh crore, and personal loans outstanding of ₹13.33 lakh crore till December end.

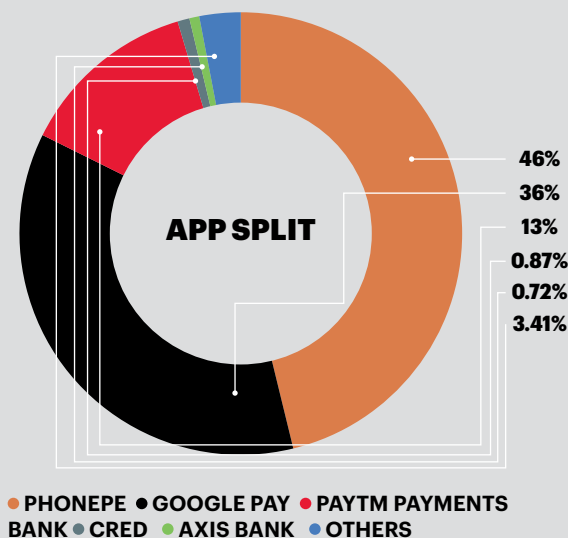
The first step in the path towards credit card linkage was RBI's June 2022 decision allowing the linking of government-backed RuPay credit cards. In fact, the proliferation of QR codes (50 million and counting) in every nook and corner and payment apps makes it possible to scan the QR code and pay, unlike the high-cost card infrastructure of POS machines—there are about 8 million machines.

"The integration of RuPay credit cards with UPI has transformed these cards from physical to virtual, boosting card spending by at least 30% where UPI is adopted. Over time, it's expected that a significant portion (more than 10% of total credit card spending) will shift to UPI, moving away from traditional RuPay, Visa, and Mastercard channels," says Naveen Chaluvasi, Chief Digital Officer of private sector lender YES Bank.

"Banks are leveraging RuPay even though there are no MDR (merchant discount rate; the fee charged for pro-

## SHARE OF UPI APPS

- ▶ Two tech giants, Walmart-backed PhonePe and Google Pay, account for 80% of UPI volumes
- ▶ There is a concentration risk as banks are staying away due to zero merchant discount rate

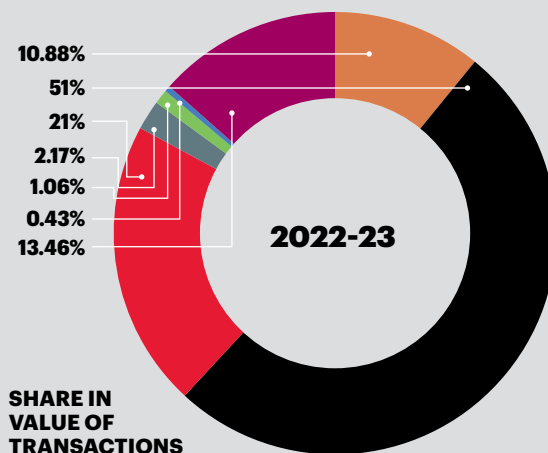


NOTE DATA AS OF DECEMBER 2023 SOURCE NPCI

## FAREWELL TO THE OLD

- ▶ UPI has overtaken not just traditional debit and credit cards, but also cash
- ▶ It trails only NEFT transactions, which still account for more than half of the transactions by value

● PAPER BASED ● NEFT ● UPI ● CREDIT CARDS  
● DEBIT CARDS ● PREPAID INSTRUMENTS  
● OTHERS



SHARE IN VALUE OF TRANSACTIONS

NEFT IS NATIONAL ELECTRONIC FUNDS TRANSFER SOURCE RBI